

'Make in India' initiative that aims to reduce reliance on imports. Take the Blue Star stock as an example from the consumer durables space; its stock price surged 1,166% to ₹1,710.60 on July 5, 2024, from ₹135.15 on May 30, 2014. It's not alone; Titan Company, Havells India, and Voltas also rallied 952%, 879%, and 678%, respectively, during the same period.

"Government initiatives targeted at boosting manufacturing have acted as tailwinds for many cyclical sectors in India. These include Atmanirbhar Bharat, Make in India, and PLI," says Dikshit Mittal, Fund Manager and Senior Equity Research Analyst at LIC Mutual Fund. "As capacity utilisation increases and there is more visibility of earnings from new markets, including exports, the need for capital expenditure (capex) arises. That has led to growth in earnings for companies in the industrials and capital goods sectors," Mittal adds.

The government has so far announced PLI schemes for 14 key sectors with an outlay of ₹1.97 lakh crore to enhance India's manufacturing capabilities and exports. "The PLI scheme is designed to encourage domestic manufacturing in a range of industries, including electronics and white goods," says Alok Agarwal, Head-Quant and Fund Manager, Alchemy Capital Management. "Additionally, the Digital India campaign aims to enhance internet accessibility and digital infrastructure contributing to the expansion of consumer durables such as smartphones and other electronic gadgets," he adds.

In the real estate sector, the Regulation and Development Act (RERA), 2016, has increased the trust of buyers by bringing in transparency. The Pradhan Mantri Awas Yojana (PMAY) and other affordable housing schemes also boosted real estate demand. The introduction of RE-ITs provided an alternative investment avenue, increasing liquidity in the sector. As a result, stocks of realty majors gained. For example, Brigade Enterprises jumped 2,008% to ₹1,344.60 on July 5, 2024, from ₹63.77 on May 30, 2014. Godrej Properties (up 1,247.45%), The Phoenix Mills (up 1,186.60%), Prestige Estates Projects (up 780.72%) and Oberoi Realty (up 645.13%) are other major gainers.

"RERA forced developers with weak balance sheets and poor governance standards to either improve their business or wind up. The cut in interest rates by the central bank to



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"The government's focus on spending across sectors like infra, power, defence, and the capitalisation of banks has enabled PSUs in their respective sectors to grow"

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revive the economy, after lockdowns aimed at containing Covid-19 infections, led to higher affordability. This, along with subdued new launches, led to subsequent absorption of inventory. Market share gains by organised players further helped the listed real estate sector," says Mittal.

Meanwhile, the combined profitability of the banking sector jumped more than 5x to ₹3.22 lakh crore in FY24 from ₹62,005 crore in FY14. The BSE Bankex gained 256% between May 30, 2014, and July 5, 2024. Sharing its view on the Indian banking sector, investment firm CLSA says Indian banks are well-placed after a roller coaster decade. "Balance sheets are the strongest they have been in over a decade. The return on equity is at its highest since FY11," it adds in a report.

Coupled with all these initiatives, Agarwal believes that liberalisation of FDI, banking reforms, and the Insolvency and Bankruptcy Code have improved investor confidence, increased productivity and improved growth conditions, all of which aided in India's overall economic development pushing the Indian stock market to new highs.

THE MARKET IS LIKELY TO TAKE THE BUDGET POSITIVELY IF THERE IS NO MAJOR NEGATIVE TAX SURPRISE, SAY EXPERTS